HARVARD | BUSINESS | SCHOOL

9-812-033

REV: AUGUST 2, 2017

RAMANA NANDA

WILLIAM R. KERR

LAUREN BARLEY

PunchTab, Inc.

It was February 2011, and Ranjith Kumaran, cofounder of Menlo Park, California-based startup PunchTab, Inc., smiled as he recalled the recent online *New York Post* article "$150,000 & A Dream." The article illustrated the entrepreneur-friendly nature of the current financing environment and the creativity investors were using to gain access to early-stage companies. (See **Exhibit 1** for article.) Kumaran felt fortunate to be starting a company in this environment. He recently left his first startup YouSendIt to start PunchTab, an Internet-based turnkey customer loyalty program for website owners, mobile application developers, and brands. PunchTab's free service allowed these web-based entities to reward their users with redeemable loyalty points for desired actions they took on their sites, including making purchases, visiting a site daily, and sharing the site's content on social networks.

With his cofounder Mehdi Ait Oufkir, Kumaran had just launched a private PunchTab beta site. The initial results were strong, and Kumaran felt it was time to focus on funding the company's operations and growth. However, he knew that the fundraising landscape was markedly different than when he raised his initial funding for YouSendIt seven years ago. He was a more seasoned entrepreneur, and there were many more sources available for seed funding, including individual angel investors, super angel funds, incubators, and seed funds inside traditional venture capital (VC) firms. As he contemplated how best to fund PunchTab, he wondered when he should raise his first round of funding, how much he should raise, and from whom he should raise it.

Ranjith Kumaran

Born in England, Kumaran was raised in India and New Zealand until he was five and his family moved to Canada. Kumaran received a bachelor of engineering degree in computer engineering from Montreal's McGill University. After graduating, Kumaran spent three years as a software systems engineer in Toronto at Red Hat, a leading provider of Linux and open-source software. In 2000, he moved to the Bay Area to join a startup called Celoxica, where he built and ran the sales engineering team. Kumaran commented on what drew him to the area, "I loved the vibe of the technology community in Silicon Valley and learning more about the companies that were started here. A lot of people move here to figure out how to start something, and I was no different."

Professors Ramana Nanda and William R. Kerr and Research Associate Lauren Barley prepared this case. It was reviewed and approved before publication by a company designate. Funding for the development of this case was provided by Harvard Business School and not by the company. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

Copyright © 2011, 2017 President and Fellows of Harvard College. To order copies or request permission to reproduce materials, call 1-800-545-7685, write Harvard Business School Publishing, Boston, MA 02163, or go to www.hbsp.harvard.edu. This publication may not be digitized, photocopied, or otherwise reproduced, posted, or transmitted, without the permission of Harvard Business School.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

At Celoxica, Kumaran enjoyed interacting with customers and investors, and in 2003, Axis Systems, a potential customer of Celoxica, recruited Kumaran for product marketing. Six months later, Axis was acquired by Verisity Design, which was later acquired by Cadence Design Systems. Kumaran stated, "All of a sudden, I went from a startup to a 600-person company. I wanted to wait for my one-year stock vesting cliff, but began working nights and weekends with two former Celoxica colleagues and brothers, Amir and Khalid Shaikh, on what would become YouSendIt."

YouSendIt

The trio founded YouSendIt in July 2003 to provide Web-based secure digital file delivery, particularly for large files. He described the genesis for his venture:

> I'd been an engineer; I'd worked in sales and I'd worked in marketing. As an engineer, I needed to transfer files like source code to other team members; as a sales professional, demos to prospective customers; and as a marketer, PowerPoint presentations to the trade show floor. In many cases, I would find myself burning a CD and driving it over, which was a horrible waste of time. I am a fairly technical person, so I figured there had to be millions of non-technical people, particularly in small work environments without much IT support, who couldn't solve this problem of transferring a large file electronically.

In May 2004, the cofounders attended TiEcon, a large annual conference in Silicon Valley held by TiE (formerly The Indus Entrepreneurs) to foster entrepreneurship. TiE was founded in Silicon Valley in 1992 by eight entrepreneurs from India, and by 2011, it was a global network of entrepreneurs and professionals with 54 chapters in 13 countries with more than 13,000 members. At TiEcon, the trio pitched their company to potential investors, but found it was too early stage to garner much VC interest. However, they did meet Venky Harinarayan and Anand Rajaraman of Cambrian Ventures, which had a $25 million seed fund for technology companies.

Both Harinarayan and Rajaraman earned PhDs in computer science from Stanford University. In 1996, the pair and two other Stanford students founded Junglee, a database technology company that Amazon.com acquired for $250 million in 1998. They then helped create Amazon's marketplace business until 2000 when they left to form Cambrian Ventures. In August 2004, Harinarayan and Rajaraman invested $50,000 as a convertible note in YouSendIt. Kumaran recalled, "The first seed money kept the lights on for six months, and we didn't take salaries." Harinarayan and Rajaraman funded an additional $200,000 at the end of 2004 when YouSendIt met its user growth metrics. Kumaran continued, "The deal was priced, and Cambrian got a decent chunk of the company. They didn't take a board seat—that wasn't their model. But, they were entrepreneurs themselves and opened a lot of doors to the VC community."

In late 2005, YouSendIt raised a $10 million Series A round. The company switched from an advertising-based business model to a subscription-based business and grew very rapidly. An operating CEO was hired in 2006, and Kumaran became VP of product and board member. By the end of 2006, both Shaikh brothers had left the company. Kumaran commented:

> In an early stage company, you live and breathe the business day after day. It is tough work, and you have to be happy and fully engaged to stick with it. By the time Amir and Khalid left, the business had evolved in a direction that was less interesting to them. We were also going through a challenging time. We were trending toward $5 million in revenue and had just launched our first enterprise product that groups used. We had a big consumer business and a growing enterprise business with very different needs and

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

> selling cycles. They were in conflict because we were giving our basic consumer service away for free yet signing up major customers for hundreds of thousands of dollars per year. It was hard to balance the two businesses, and I would not recommend an early-stage company try to pursue two such diverse sets of users at one time. It could have killed the company, but we were able to navigate through it.

The company raised a $10 million Series B round in April 2007. By mid 2007, Kumaran was ready to hire his replacement again. He elaborated:

> When I first started YouSendIt, I had no kids and no mortgage. By 2007, I had two kids and a mortgage. I was running products, customer support, and data center operations, while driving the company culture. It was killing me; it was 24/7. I made a lifestyle choice to scale way back. I became founder CTO, which is the greatest title in the Valley because you can do whatever the company needs at any given time. I started the company's first outbound PR and marketing efforts and did user experience work, which I really like to do. I was there to share the knowledge in my head to newcomers and to help scale the executive team and company.

By late 2010, YouSendIt had $25 million in annual revenue, employed over 100 employees, served 15 million users with registered accounts, and 400,000 paid subscribers. It offered four plans: one free—Lite, and three subscription—Pro, Pro Plus, and Corporate Suite. The company had raised two more venture rounds ($14 million in July 2008 and $15 million in August 2010), and Kumaran was ready to step away from the company, but remain on the board. He summarized:

> We didn't really need a Series D, but Adams Street Partners approached us and were very excited about the business. They did very light due diligence because they knew our board extremely well and showed us a great term sheet. We thought they were a perfect fit. Most of our investors were earlier stage investors, and we wanted someone at the table that had taken companies public and had deep pockets in case we needed a mezzanine round before going out. At this point, I looked around and thought, "This looks like a grownup company but what does someone like me, who likes to build version 1.0 products, do now?" I was also leading M&A at YouSendIt, talking to early stage teams, and had acquired two companies. People were doing amazing things with very little capital. I wanted to be that guy again.

PunchTab

By 2011, Kumaran was ready to dedicate himself to his second startup—an idea from a business problem he had encountered at YouSendIt. Kumaran explained, "It was obvious that we couldn't force people to have a big file—they either had one or they didn't. If they only used the YouSendIt service periodically, how could we be top of mind when they had the need?" YouSendIt experimented with ways to engage and retain its users, and discussed a loyalty program where users would accumulate points based on the number of files they sent. Kumaran continued, "Everyone was excited about the loyalty program until they found out that it would take two software engineers, a QA engineer, a product marketer, and a product manager to get the program out the door. No way were we going to do it—it wasn't core to our business."

Kumaran believed there was an opportunity to start a company that offered online businesses and website owners a turnkey, instant online loyalty program in which consumers could earn universal loyalty points that could be redeemed across the participating network of companies. He researched

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

the idea by speaking with online businesses and big brand companies with a web presence—airlines, apparel vendors, and consumer electronic stores—about their online loyalty programs. He summarized, "Those with programs had ones that were old school that didn't tap into social and location-based engagement. They wanted a more compelling offering, but couldn't spend the development and marketing costs to build one."

Kumaran talked with others about his idea, including venture capitalist Nick Sturiale, a YouSendIt board member. The two met in 2005 when Sturiale's firm, Sevin Rosen Funds, invested in YouSendIt's Series A round. Sturiale had been with several startups and cofounded his own startup, Timbre Technologies, which was acquired for $138 million. He joined Sevin Rosen in 2000, becoming a general partner in 2003. In 2009, he joined Jafco Ventures, which provided Series B and C funding to information technology companies. Sturiale explained why he advised Kumaran:

> We had a peer relationship as board members at YouSendIt, and I always thought very highly of Ranjith's strategic mind. The Valley is full of egos that can pontificate, but he was a strategist without an ego. I knew he had some other ideas he wanted to explore and wanted to run something that he could have some control over. I'm sure there were instances at YouSendIt where he offered very salient advice that wasn't followed. That can become frustrating for an entrepreneur. I told him I would help him as a friend so I donned the cap of entrepreneurial advisor with economic interest in the business. He fairly quickly settled on the concept that became PunchTab.

Although Kumaran viewed YouSendIt as a successful startup, he intended to avoid some of the pitfalls with PunchTab that he had encountered with YouSendIt. He commented:

> People talk about these super-optimized first deals—the entrepreneurs become the Hollywood stars of Silicon Valley—but those are outliers. Most prominent entrepreneurs have done an earlier, smaller deal that nobody cared about, but was a learning experience. With YouSendIt, I worked with the only cofounders I knew and took the only first round term sheet I got. I didn't have a lot of choices, and we didn't have a lot of leverage. My cofounders didn't always agree with my choices, but I felt if the company grew, we'd all do great.
>
> This time, I want to control my fate more and have the company feel more like a family. I want to work with people who have worked in the trenches with me before. I want it to be a delight to work side-by-side with them, day in and day out. I would also like to create an environment where it feels like everyone—founders, employees, advisors, and investors—are at the table on day one. I want everyone to have skin in the game from the beginning.

Kumaran discussed the PunchTab concept with Ait Oufkir, an early employee of YouSendIt, in late 2010. Ait Oufkir was an experienced engineer who developed many of the company's early products, but had recently left to start his own company, JellyDo.com. The two decided to work on PunchTab starting in early 2011. Kumaran described, "We had lengthy discussions about what type of people we wanted in the company; what we wanted the company culture to be; what user experience we wanted; and what we were good at and what we weren't good at." The pair also spoke about roles and milestones; Kumaran would handle product management, viral marketing, and fundraising, while Ait Oufkir would design and build the platform. Kumaran commented, "Early on at YouSendIt, there was some tension with my cofounders that I held the CEO title and was the first among equals, so I knew to have that conversation early this time around. It was important to be frank and realistic upfront because founders can have preconceptions about what it means to run a company."

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

The PunchTab Platform

The two began working on the PunchTab platform, which would be comprised of four parts: 1) authentication (login) so that a site's users connected to its PunchTab loyalty program using Facebook; 2) currency (loyalty points) that users would earn for various, desired actions they took on a site or mobile application; 3) earning mechanics that were the specific, desired actions that resulted in the users earning currency; and 4) the catalog that was the customizable list of rewards in which users could redeem their points. To set up the PunchTab loyalty program, PunchTab customers would visit PunchTab.com to sign up using their email address and domain. PunchTab's installation wizard would walk customers through the necessary steps to set up their loyalty programs. After customers tested their programs, they would be encouraged to customize their rewards catalog.

PunchTab would supply the tools to implement the loyalty mechanics free to its customers. It would manage the loyalty program, including authentication, aggregating the points, designing the targeted redemption offers, and managing their redemption. Although websites and mobile applications within the PunchTab network would feature a "Powered by PunchTab" tagline, each company's program could have its own look and feel, and PunchTab's customers were responsible for encouraging their own users to enroll. PunchTab planned to eventually charge a fee that covered some customization, data analytics, and customer relationship management.

Online consumers of the websites and mobile applications using the PunchTab platform would be registered and enrolled in the loyalty program through popular social networks such as Facebook. Consumers would immediately start earning universal loyalty points that were redeemable for offers, gift cards, and custom rewards across the online businesses and websites in the PunchTab network. On February 14th, 2011, Kumaran and Ait Oufkir launched a free beta version of PunchTab. Roughly 200 user sites signed up initially, with 100 implementing and actively using the service. As PunchTab's beta site launched, Kumaran turned his focus to the company's financing strategy.

Market for Early-Stage Finance

Early-stage financings typically involved a relatively small amount of capital, usually under $1 million. Financing could be used for investigating a product or market opportunity; prototype development; initial expansion into distribution channels; and/or building out a management team. Early-stage startups that were able to raise capital in the public equity or debt markets were extremely rare. Likewise, very few technology-based startups were able to secure a bank loan, because they typically had little in the way of tangible assets to serve as collateral.

By 2011, the early-stage financing market had shifted, largely a result of the 2007 financial crisis and subsequent recession. Venture capital firms were now more conservative and less likely to fund early-stage deals.[1] Overall, U.S. venture capital investment declined to $26.2 billion in 2010, down from $29.9 billion in 2007.[2] According to the National Venture Capital Association, VC investment in 2009 ($18.3 billion) was a 12-year low.

Scott McNealy, entrepreneur and advisor to startups, stated, "VCs are acting like business schools, which no longer take kids right out college but wait two to four years until they've proven themselves. They're basically saying, 'We're not going to take a chance, we'll let the angels do that and vet them first.'" This was particularly true of seed stage financings used for exploring a product or market opportunity. With the initial public offering (IPO) market heating up in 2011, some industry observers believed that VCs were spending more of their time and resources readying their later-stage deals for an exit.[3] (See **Exhibit 2** for VC investments by financing stage.)

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

Fortunately for entrepreneurs, other financing sources—angels, angel groups, super angels, and incubators—increasingly filled the funding gap left by the VCs. Traditional angel investors were typically affluent individuals who invested a small portion of their personal wealth in companies—typically as a hobby—within their geographical area and areas of experience or expertise. Increasingly, individual angels were joining angel groups or networks to share due diligence and deal leads, and sometimes to combine capital so they could participate in larger or later rounds.[4] Not surprisingly, angel groups' more professional nature and higher average investment size meant their investment approach more closely resembled the venture capital model than that of the traditional individual angel.[5] (See **Exhibit 3** for Angel Capital Association (ACA) angel group member directory.)

Incubators typically helped nurture early-stage companies by providing entrepreneurs office space and services (including access to financing), often for a fee or equity stake in the venture. Examples included Y Combinator, founded in 2005, and Dogpatch Labs, started by Polaris Venture Partners. Entrepreneurs could also obtain seed funding through AngelList, a new crowd-sourcing website started by Naval Ravikant and Babak Nivi. Initially, AngelList matched entrepreneurs with early-stage investors, but later evolved into a community in which the site's investors could comment on potential investments and follow their progress.

Super angels, such as Yuri Milner (investor in Facebook and Twitter) and Ron Conway (an early investor in Facebook and founder of investment firm SV Angel), began as traditional angel investors but became professional angel investors. (See **Exhibit 4** for a ranking of super angels.) Super angels invested in as many as 20 startups a year with an individual investment size ranging from $25,000 to $250,000. Some super angels raised small funds to invest in early-stage companies; some also raised funds, typically in the $30 million to $35 million range, to finance later rounds.[6] In many cases, the presence of a particular super angel attracted other investors into the deal.[7] Some super angels also fed deals to VCs in their network.[8]

According to the ACA, angels and super angels provided $18 billion in seed financing in 2010, while venture capital firms invested $22 billion. However, ACA's executive director believed the angel capital reached ten times as many companies.[9] Some industry participants welcomed early-stage angel capital, noting that many super angels were experienced entrepreneurs or former venture capitalists. Many argued this new breed of investors was more entrepreneurial and innovative than traditional venture capitalists.[10] Regardless, they were bringing increased professionalism to early-stage investing.[11]

Rajaraman reflected on the priorities of angels, "They play a different game from the VCs. The VC game is to invest and hope for a big exit; many super angels want good exits in a shorter timeframe. A $10 or $20 million exit in one or two years is a good exit for them. I'm not sure this is a sustainable model as more people rush in, because early-stage valuations are going up." Sturiale added, "The institutional angel industry has made good returns although they don't have the funds to carry deals across the goal line. They depend on the secondary market and healthy M&A—not IPOs—to monetize their investments. But in a downward or sideways market, the only dollar that matters is the last one in. Angels are dependent on a bull tech market to reduce their follow-on financing risk."

Further, angel financing could only fill the void in less capital intensive fields. Sturiale stated, "There are a lot of serious, well-meaning, committed super angels out there. There is also a gaggle of nouveau riche publicity hounds riding a temporary wave in social media and mobile. Super angels aren't appropriate for every industry; you aren't going to build a solar farm without serious risk capital." McNealy argued that there weren't enough angels to meet early-stage funding needs and

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

stated, "The VC funds are giving money to people they've already worked with. So if you truly need angel money, you'd better know some people who are rich."[12]

Not surprisingly, more enterprising VC firms were adapting, recruiting more entrepreneurial partners and launching small, more entrepreneur-friendly funds.[13] One example was Kleiner Perkins Caufield & Byers, which launched a $250 million fund, sFund, in the fall of 2010 to seed social media startups.[14] Other VCs were investing directly in super angel funds and incubators. In May 2010, Sequoia capital invested in Y Combinator's $8 million fund. Super angel Chris Sacca, a former Google executive, raised an $8.5 million fund partly from VC firms in June 2010 to invest in early-stage startups. AngelList's Ravikant, who raised a $22 million seed fund in 2008 with VCs including Sutter Hill Ventures, commented, "Whatever's hot in venture capital is hot in the seed community a year or two before."[15]

This largely entrepreneur-friendly funding environment—particularly in Silicon Valley—helped increasingly assertive entrepreneurs raise early-stage money at escalating valuations with better terms, including stronger board control.[16] (**Exhibit 5** for early-stage financing structures and deal terms and **Exhibit 6** for 2010 Silicon Valley and Seattle Angel/Seed Financing survey results.) Valuation gains were due in part to new capital sources, but they also followed from the fact that some startups, such as Facebook and Groupon, had harnessed strong network effects and amassed large user bases quickly.

There was also a newfound appreciation that young entrepreneurs who grew up with the Internet were well positioned to shape the future of social networks and mobile applications.[17] Marc Andreessen, founder of Netscape and a VC, commented, "In the past, a lot of the top venture capitalists thought founders were replaceable, or that they were best replaced."[18] Jim Breyer, partner of VC firm Accel Partner, stated, "For the next-generation opportunities around the Internet and social networks, I believe the biggest opportunities will be driven by young founders who maintain their C.E.O. positions."[19]

Not surprisingly, founders who had been hurt previously at the bargaining table welcomed their increased control and ability to raise seed funds more easily.[20] However, others worried that the new environment was creating unsustainable valuations and unrealistic expectations.[21] Average early-stage valuations had held steady between $1 million and $2 million for several years until 2010, when they tripled to $5 million and $8 million according to one industry participant.[22]

PunchTab's Financing Strategy

As Kumaran thought through his financing strategy for PunchTab, he summarized:

> I always wanted a big outcome for YouSendIt, and I want PunchTab's to be even bigger— I'm not interested in building a lifestyle business. Ideally, I'd like to build PunchTab into a billion dollar company. To get there, I'll likely need to raise over $50 million in total capital. Because I want a venture-type return, I like concentrating on building massive distribution first and will need to raise early-stage capital to fund that. Although I can wait a few more months, ideally I would like my investors in early on. I am also looking for professional investors who bring a lot to the party and can weather the ups and downs of an early-stage venture. I am not considering something like Y Combinator because I already have my own investor and advisor networks, which would be a good fits for PunchTab.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

> I feel PunchTab can reach a big market, maybe bigger than the $4 billion loyalty 1.0 market. And, Mehdi and I are the right team, so I want to give us enough runway to learn, make mistakes, and crack the distribution model. Anyone can build a product, but not everyone can get it in the right people's hands. Getting distribution right is the currency of Series A. I estimate we need about nine months and two additional team members to run these experiments. One is an additional engineer to make the product extremely usable and beautiful—that is one of the keys to cracking distribution—and the other is a back-end engineer to support Mehdi and the platform. A fully loaded engineer costs $100,000 plus a year. We need a minimum of $500,000 by the time I factor in infrastructure and the cost of making "one big mistake," but I don't want to raise more than $1 million because then it starts feeling like a round, and the expectations change.

As Kumaran created his investor presentation, he used Sturiale as his sounding board. Sturiale described, "I started asking questions with a very strong eye toward what would resonate with an investor. Angel investors see 17 deals a week and get bleary-eyed. I would send a list of questions, and Ranjith would refine his presentation." Kumaran set his seed milestones as 1) an attractive user experience and user acquisition measured by membership approaching 100,000; 2) a lightweight redemption system that would initially be a catalog of offer-based rewards; and 3) loyalty market development, defined as an understanding of loyalty market needs, systems, and players.

Sturiale also introduced Kumaran to numerous angel investors. Sturiale described:

> I believe the deal terms are almost irrelevant at the early stage; it is all about market size and the people you put around the project. If you have the right people, you're driving risk out of the business. I told Ranjith to look for people who have time; whose domain expertise and temperaments are well suited to help him develop the idea; and who are okay with failure and won't chop immediately. Some investors have the business model of spreading the seeds and letting the flowers bloom, but that is not what Ranjith needs.

Kumaran spoke with Ron Conway's SV Angel firm as well as with Harinarayan and Rajaraman, who were active in angel investing. Kumaran also put PunchTab on AngelList. Ravikant had casually advised Kumaran in the past, and they had been looking for ways to work together. Kumaran elaborated:

> Naval and I have lived through the dark days of startups. I like to surround myself with people who have gone through similar experiences because it can be lonely if I don't hear their stories. I also trust his judgment. Naval liked the concept and thought it would be a great fit for AngelList because it has an established team and a big market. But, it is also a little early, and many angels look for some de-risking before they invest. My angel network is pretty weak, and AngelList helps me build out that part of my network efficiently. Angels bring a different set of experiences to the table because they only work with very early-stage companies. They want to fund product so they have fewer formal processes when you work with them than VCs do. They look at things day-to-day; they don't look at everything through the lens of what does it look like when the company raises its Series A or B. The branded angels also come with long recruiting coattails and buzz generation. I want some of that DNA around the table.

Kumaran also met with his high school friend and Facebook executive, Chamath Palihapitiya. Palihapitiya was at the VC firm Mayfield Fund before joining Facebook, where he was the vice president of user growth, mobile and international. Kumaran stated, "We'd been talking about doing

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

a deal ever since he landed at Mayfield. I actually met with him to connect with his product team at Facebook, but he liked PunchTab right away and wanted to invest."

Kumaran also received investor referrals from his network of bankers, past employees, and vendors. He had existing relationships with numerous venture capital firms, and many of his YouSendIt investors expressed interest in PunchTab. One of the first "outsiders" he spoke with was Katherine Barr, a partner at Mohr Davidow Ventures (MDV). (See **Exhibit 7** for Barr's biography.) MDV had a $700 million fund to invest in life sciences, information technology, and cleantech companies, typically in their Series A and B rounds. MDV was interested in doing a few seed investments in 2011.

Barr and Kumaran, both Canadian, met a year earlier through C-100, a not-for-profit organization dedicated to supporting Canadian technology entrepreneurship and investment. Kumaran helped Barr with some advising work and got to see how she worked with other companies and founders. He summarized, "Mohr Davidow focuses on opportunities around data analytics, and I think a big play of PunchTab is going to be about the data we collect. Regarding Katherine, her founder references are off the charts, and she is very active in the start-up community." Sturiale continued, "Katherine is a fairly new partner, but she is clearly a rising star. She is committed to Ranjith's success and has been very helpful."

Barr provided her viewpoint:

> When I first met Ranjith, we had a great conversation. He's really smart, analytical, technical, and with a big vision—the type of founder we tend to like. I brought him to some activities I was doing like a C-100 investor panel where he shared his views as an entrepreneur. I didn't do this for the explicit reason of investing in him, but hoped we'd figure out some way to work together, maybe through one of my companies. Then, he called about PunchTab. He was building a disruptive, complex approach to a very large market, which will leverage data analytics, a model we like.
>
> We had a very candid conversation about what he wanted to build and what he'd learned from YouSendIt. I also confirmed he was in it for the long-haul and ready for a long-term relationship. He built YouSendIt for six years, and I needed to know that he was ready to spend another five or six, or maybe more years for a large exit for PunchTab. As a large fund, it doesn't make sense for us to target exits for lower amounts, like $20 or $50 million. Ranjith also said he wanted to be PunchTab's CEO, so we spent time discussing the importance of proactive, clear communication and expectation-setting with me and his team. I was candid with him that MDV didn't have all of its processes around web and mobile seed investments ironed out at that time and that he'd have to be patient with us. After a series of conversations, I told him I wanted to support him, and we moved ahead with the financing process.

Barr and MDV managing director Bill Ericson were building out the firm's web and mobile practice. After Barr did some due diligence on Kumaran and the market, she brought the opportunity to Ericson. Barr stated, "We are very people-driven here, especially at the early stages of a company. Because our processes are currently set up more for Series A and B investment rounds, Ranjith had to meet with several key partners early on, and then present to the entire partnership." Kumaran and Barr discussed milestones he would hit for the amount he wanted and valuation in general terms. Barr commented, "I believe it's important to have discussions and agreement around the general business terms before the lawyers get heavily involved, because the discussion can often take on a different tenor when you reach the stage of legal redlining of documents."

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

The discussions with MDV moved forward quickly, and MDV agreed to a convertible note with a cap, although it usually priced its deals.[a] Kumaran noted, "I want to use a convertible note because it is faster and costs less, and angels are comfortable with them." Barr summarized MDV's reasons for agreeing to a convertible note, "We try to be entrepreneur-friendly as much as makes sense for us. Ranjith had a strong preference for a convertible note. Since we were going to negotiate a cap anyway, it was essentially six of one, half dozen of another." By early April 2011, they had a verbal term sheet. (See **Exhibit 8** for summary of verbal terms.)

Evaluating the Options

MDV was willing to fund the whole note or participate in part as long as it ultimately got its required 8% to 10% equity stake. It would defer taking a board seat until the first venture financing round when PunchTab's board would form. Kumaran and Sturiale talked through the options. Sturiale described:

> I worry about having a VC at the seed round because if the VC loses interest, you're toast. It could be for reasons unrelated to the company, but if I am a potential Series A or B investor, and the original investor doesn't go forward, that would be a show stopper for me. VCs are more likely to put a bullet in a seed project if the first experiment goes poorly. MDV also has been through some repositioning as a partnership. Does Katherine have the juice to get the deal done as well as the next round? Does she have the gravitas within her partnership?

Kumaran shared the preliminary deal terms with several other VCs, including several that invested in YouSendIt, and one East Coast VC firm that had seemed willing to increase the valuation cap to remain competitive. Sturiale continued:

> Ranjith has several brand name angel investors and VCs who are interested, but some are moving slowly. The challenge is who to put around the table. Only MDV? A series of angels and two VCs? Several of the VCs he's talking to could be hugely helpful, and others are more likely to be detached. I think Ranjith should look for 100% alignment, which will show up in the terms in the term sheet but also in how they act toward him through this process. Are they encouraging when things are not going perfectly? Are they helping with recruiting? Are they setting up business development meetings? Or, are they standing back and critiquing? At this stage of the game, I think he needs true believers.

As Kumaran shared MDV's initial terms with some angels from AngelList, he received preliminary feedback that his cap was too high. Kumaran stated, "The VCs don't really care about the cap, but some of the angels wonder how they will make money with such a high cap and think it is too rich for an early-stage company." However, Kumaran thought there might be one or two super angels who would be willing to invest. In addition, roughly a dozen traditional angel investors expressed interest, including Sturiale, Harinarayan, Rajaraman, and Palihapitiya. All the traditional angel investors were

[a] A convertible note defers the valuation until the note converts to equity in the next round; a "cap" specifies that the per share conversion price will not exceed a threshold level, although it could be below that level. A deal that is "priced" (i.e. an equity round) means a specific valuation has been set for the company. (See **Exhibit 5** for additional information on financing structures and terms.)

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

willing to put in between $50,000 and $100,000, except for Palihapitiya, who wanted to invest more because he required a minimum ownership percentage.

Conclusion

As Kumaran ran through his options, he felt he had three reasonable choices: 1) include a VC in the deal; 2) fill the round with angels, including one or two super angels; and 3) wait a few months, then raise a Series A round, bypassing the seed round completely. MDV would certainly bring experience, expertise, and deep pockets to PunchTab, although the venture firm was fairly new to seed financing and Barr was a fairly new partner. The East Coast VC firm had seemed comfortable with terms similar to MDV's and appeared willing to increase the cap, which could give the PunchTab co-founders more upside. On the other hand, if Kumaran decided it was too risky to include a VC investor at this stage, he felt confident PunchTab could attract a couple of well-regarded super angels. However, he realized that this choice might mean that he had to accept a lower cap. He also wondered how much day-to-day support he would receive, since these angel investors were typically involved in many deals.

Kumaran also toyed with the possibility of waiting to raise Series A money after he had completed more milestones, thereby bypassing the seed round entirely. Investors seemed eager to provide PunchTab financing, and he wondered if he would have even more leverage in a few months. Kumaran's mind raced as he thought through the various options, but he felt invigorated. He knew these were the types of challenges he had wanted when he decided to go down the startup path once again.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

Exhibit 1 *New York Post* Online Article

NEW YORK POST Updated: Mon., Feb. 14, 2011, 5:44 AM

$150,000 & a dream

by Garrett Sloane
Last Updated: 5:44 AM, February 14, 2011
Posted: 11:17 PM, February 11, 2011

Upper West Sider Aaron Harris, the 26-year-old CEO of tech startup Tutorspree, escaped the snowy Big Apple last month for a stint in Silicon Valley—where it's been raining money since he got there.

Harris and his partners—fellow Upper West Side resident Josh Abrams, 27, and 25-year-old Ryan Bednar, of Jersey City—are one group of 43 companies lucky enough to be chosen to take part in a tech incubator program called Y Combinator—which forks over $20,000 for a stake in the company of between 2 percent and 10 percent.

But when Harris, Abrams and Bednar arrived on the West Coast, they learned that Russian super-investor Yuri Milner—of Facebook and Twitter investment fame—and mega-dealmaker Ron Conway had decided to invest an additional $150,000 in each of the 43 startups.

It was a late Christmas present tech wannabe moguls dream of.

The three partners are living in a rented house for three months and are being mentored before deciding if they want to return East or remain in Silicon Valley to try to grow their New York-born company, which links parents with private educators for their children.

The money from Y Combinator was supposed to be all they would live on—until Milner and Conway came along.

"The investment will increase our ability to rapidly improve Tutorspree," Harris told *The Post* last week. "It doesn't really change how much capital we're going to raise, but it does give us a head start on raising it."

Milner and Conway made their investment through a new vehicle called the Start Fund, whose stake in each of the companies will be based on later-stage funding. The Start Fund asked no questions before handing over the cash—relying totally on YC's expertise.

It's a style of investment that Silicon Valley insiders say has never been done before.

Not everyone in Silicon Valley likes Milner's style, however.

Funding early-stage startups is usually more precise than this shotgun method. Angel investors normally scrutinize their deals.

Milner's strategy, coming in the midst of a tech rally, is more like investing in an index fund—after all, in this run-up in technology, one of the 43 is likely to succeed and return a bountiful yield to the fund.

One angel investor, who has spent decades in Silicon Valley, told *The Post* that the Milner deal sends the wrong message to younger investors.

"There's a generation of investors who came into the business world just as the dot-com bubble was starting, so their only point of reference about a good economic up-time was this style of undisciplined investing," said the founder of one of Silicon Valley's top angel firms.

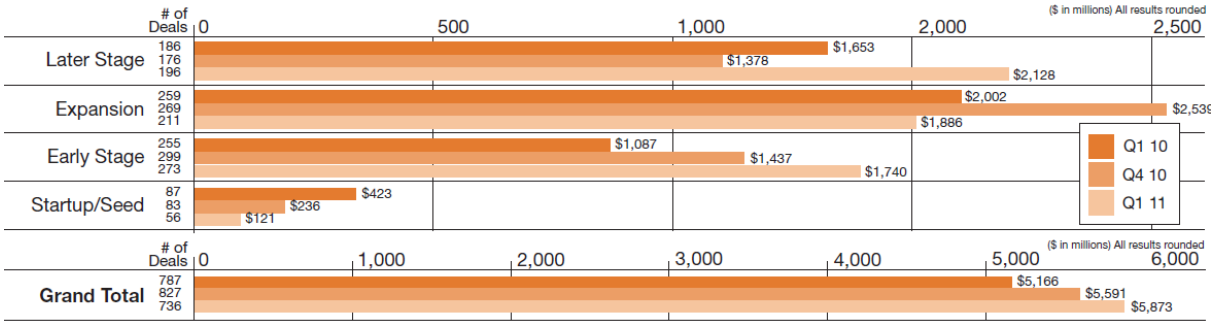
Sour grapes are what Milner supporters are saying of the critics.

"A lot of angels feel Ron and Yuri stole the sandwich out of their mouth," said Paul Graham, who runs Y Combinator. "They swooped in and invested in everybody first."

Source: Garett Sloane, "$150,000 & A Dream," *New York Post*, February 12, 2011, accessed by Factiva, July 5, 2011.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

Exhibit 2 Venture Capital Investments by Stage of Development (Q1 2010, Q4 2010, Q1 2011)



Sources: PricewaterhouseCoopers/National Venture Capital Association Money Tree report based on data from Thomson Reuters.

Exhibit 3 Angel Capital Association Member Directory for California

California
Angels' Forum—Palo Alto, CA
Angelvision Investors LLC - Los Angeles, CA
Band of Angels—Menlo Park, CA
HealthTech Capital—Los Altos Hills, CA0
Life Science Angels—Menlo Park, CA
Maverick Angels—Thousand Oaks, CA
North Bay Angels—Healdsburg, CA
Pasadena Angels—Pasadena, CA
Sacramento Angels—Sacramento, CA
San Joaquin Angels—Stockton, CA
Sand Hill Angels LLC—Menlo Park, CA
Tech Coast Angels—Los Angeles, Orange County, San Diego, Santa Barbara, CA
TiE Angels—Santa Clara, CA

Note: See http://www.angelcapitalassociation.org/directory/ for members in Canada, Great Lakes region, Mexico, Mid-Atlantic region, Mid-West/Great Plains region, National and International groups, New England region, New York, Pacific Northwest region, and Southeast, Southwest, and West regions.

Source: Adapted from http://www.angelcapitalassociation.org/directory/, accessed July 2011.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

Exhibit 4 Bloomberg BusinessWeek and Startup Tracker YouNoodle's Ranking of Super Angels

2010 Rank	Investor	Number of Angel Investments	Percent of Companies Operating Acquired or Public (not dead)	Number of Employees[a]	Amount of Funding Received (in $mil.)	Best Financial Performance[b] (rank)	Most Influential[c] (rank)	Most Diverse Portfolio[d] (rank)	Investment Focus
1	Chris Dixon	23	100	3,283	1,071.77	1	11	1	B2B internet services, Consumer Internet
2	Ron Conway	190	97	29,703	3,407.01	2	1	12	Consumer Internet, Mobile
3	Reid Hoffman	49	96	69,796	2,270.94	4	3	24	Consumer Internet, Social Networking, Gaming
4	Esther Dyson	60	98	5,357	4,80.518	3	16	25	Consumer Internet, Social Networking, Space Exploration
5	Peter Thiel	26	92	69,499	1,577.35	8	2	9	Consumer Internet, Mobile, B2B internet services
6	Marc Andreessen	53	100	3,835	1157.6	6	6	20	Cloud Computing, Virtualization, SaaS, Consumer Software
7	Jeff Bezos	18	100	21,028	482.89	5	12	16	Online Marketplaces, Space Exploration
8	Chris Sacca	31	94	593	296.385	16	9	6	Consumer Internet, B2B Internet Services
9	Mike Maples	39	97	3,377	522.62	13	13	8	Consumer Internet, Mobile, Gaming, Retail
10	Andy Bechtolsheim	49	100	31,184	954.8	12	8	19	B2B Internet services
10	Paul Graham	129	84	606	84.443	7	14	21	Infrastructure, Virtualization, Networking
12	Max Levchin	7	100	491	277.5	21	4	3	Consumer Internet, SaaS
13	Aydin Senkut	65	95	933	316.78	9	21	11	Consumer Internet, B2B Internet Services
14	Bill Joy	24	100	5,275	551.1	20	7	7	Consumer Internet, Mobile, B2B Internet services
14	Kevin Rose	12	100	369	229.41	14	19	10	Networking, Infrastructure
16	Dave Duffield	18	89	2,271	219.944	10	15	22	Consumer Internet
17	Andrea Zurek	26	92	1,767	77.797	15	24	5	Consumer Internet, Search, Software
18	Marc Benioff	9	100	74,891	133.44	17	22	4	SaaS, B2B Internet Services
19	Jeff Clavier	52	92	911	276.193	22	5	17	Consumer Internet, B2B internet services
20	Caterina Fake	6	83	77	35.72	24	20	2	Consumer Internet, E-commerce
21	Martin Varsavsky	28	96	2,078	302.501	23	10	15	Consumer Internet
22	Naval Ravikant	21	90	308	187.3	18	17	18	Consumer Internet, B2B Internet Services
23	Joe Kraus	5	100	680	160	11	25	23	Consumer Internet, SaaS
23	Eric Schmidt	9	100	129	97.4	19	18	13	Enterprise Software, Consumer Internet
25	Lauren Flanagan	23	96	257	50.46	25	23	14	Healthcare & Biotechnology

Source: *Bloomberg BusinessWeek*, accessed on July 20, 2011, http://www.businessweek.com/interactive_reports/future_of_tech_2010.html.

[a]Figures are total for all companies in the portfolio. [b]Annual growth of investments, companies operating at valuations above $100 million, and the sale of any companies for over $50 million. [c]Co-investment connections reveal how many angels they have worked with, uniqueness of co-investments, and critical bridges between angel groups. [d]Range of industries and countries in the angel's portfolio.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

Exhibit 5 Early-Stage Financing Structures and Deal Terms

Note Financing. A note financing was a loan (principal and interest), either payable on demand or at a stated maturity date, which was used to finance company operations for a short period of time before the next round of capital. A note financing had the simplest structure and was typically used when founders self-funded or when founders' friends and families invested.[23] VCs generally viewed debt negatively because its claim ranked higher than that of preferred stock, typically used by VCs.[24]

Convertible Note Financing (Convertible Debt). A convertible note was also a loan but the principal and interest were convertible into equity in the company either at the investor's option or automatically under a specified deal condition such as the achievement of a specified milestone.[25] Often, as an added incentive, the note had an automatic conversion feature that allowed the investor to redeem the convertible debt for shares of the Series A preferred stock at a discount to the price per share paid by the Series A investors (called the "discount"). A convertible note also might have a "price cap," which acted as a share price ceiling to help the note investor avoid too much ownership dilution in the Series A round. A convertible note kept the financing simple and inexpensive and deferred the valuation decision to a later financing round. Angels often proposed this type of financing.[26] This debt was characterized as a security for regulatory purposes.[27]

Common Stock Financing. In common stock financings, investors received an equity or ownership interest in the company in exchange for their investment.[28] Common stock allowed room in the capital structure for later round financing instruments such as preferred stock and subordinated debt. Common stock was often used in seed funding by friends and family networks.[29]

Series Seed Financing (Preferred Stock). In this type of financing, investors received preferred stock and often the right to get their investment back (plus an additional amount in some cases), called a "preferred return," before the common stock investors received their proceeds upon the sale or liquidation of the company.[30] This could be issued as junior preferred stock that had a nominal dividend rate and had priority over common stock in the payment of dividends and liquidating distributions, but allowed the company to issue additional preferred stock with distribution rights that were senior. This type of financing was most commonly used with sophisticated angel investors. If the business was a success, preferred investors typically participated in the upside in the form of a warrant to purchase common stock at a discount to fair market value; a common stock conversion feature; or a "double-dip" feature allowing the preferred stock to receive its liquidating preference plus a portion of the liquidating distribution the common stock shareholders received upon sale of the company.[31]

Valuation. Early-stage financings using equity were "priced" deals, which meant the investors and founders had to agree on a price or valuation for the company. Although there were tools available to help entrepreneurs with valuation ranges, in the end, valuation was negotiated and subjective. During seed financing, it was important that founders and seed stage investors considered the future ownership structure assuming several additional, significant rounds of financing were needed and full dilution occurred.[32] Founders and managers needed enough ownership to feel and act empowered over time. There also needed to be sufficient room in the capital structure for later investors, most likely VCs, to have a large minority interest. Consequently, investors in the seed round typically received an ownership stake ranging from 10% to 25% of the future capital structure.[33]

Source: Compiled by casewriter from Founder's Workbench," Goodwin & Proctor, http://www.goodwinfoundersworkbench.com/financing-strategies/, accessed 7/11/11, and David McGrath, ""Seed Capital Offerings," Mondaq Business Briefing, October 5, 2010, accessed by Factiva 7/7/11.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

Exhibit 6 2010 Seed Financing Survey for Internet/Digital Media and Software Industries[a]

Results of Angel/Seed Survey

Industry Breakdown:	
Internet/Digital Media	71%
Software	29%
Lead Investor Background:	
Seed Funds[b]	43%
Professional Angels[c]	31%
Venture Capital Funds[d]	26%
Financing Structure:	
Preferred Stock	69%
Convertible Debt	31%

Comment: Convertible notes were used more frequently in smaller financings, while preferred stock was more prevalent in larger financings.

Average Size of Investment

Below is the average size of investment for investors who invested at least $100,000, broken down by type of investor and between Preferred Stock financing and Convertible Note financing.

Preferred Stock:		**Convertible Notes:**	
Seed Funds	$392,000	Seed Funds	$140,000
Professional Angels	$310,000	Professional Angels	$182,000
Venture Capital Funds	$591,000	Venture Capital Funds	$290,000

Analysis of Preferred Stock Angel/Seed Financings

Median pre-money valuation:

Internet/Digital Media	$3,400,000
Software	$2,700,000

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

Exhibit 6 (continued)

Median amount raised: $1,056,000

Percentage using non-participating preferred liquidation preference: 90%

Percentage using participating preferred liquidation preference: 10%

Percentage in which investors received a board seat: 72.5%

Analysis of Convertible Note Angel/Seed Financings

Median amount raised $662,500

Median size of future financing in which note converts: $1,000,000

Percentage of deals in which valuation on conversion is capped: 83%

Percentage of deals that convert at a discount to the next equity round valuation: 67%

Median initial discount: 20%

Percentage of deals with discount in which discount increases over time: 25%

Percentage of deals without discount that have a valuation cap: 100%

Percentage of deals having warrants: 0%

Treatment of note if company is acquired prior to an equity financing:

- Receive return of investment plus a premium: 50%
  - Median premium: 0.75x original principal amount
- Right to convert at an agreed upon valuation: 33%
- Percentage that have neither conversion right nor premium: 17%

Median interest rate: 6.0%

Median term: 18 months

Percentage in which notes are secured: 0%

Percentage in which investors received a board seat: 8.3%

Footnotes:

[a] For purposes of this survey we defined an angel/seed financing as the first round of financing by a company in which the company raised between $250,000 and $2,000,000, and in which professional investors played a lead role. Please note that this definition excludes financings led by "friends and family," where terms may not be negotiated on an arms-length basis, and smaller financings where parties may not substantially negotiate terms.

[b] Funds that primarily invest in the first round of professional financing raised by start-up companies.

[c] Individuals or groups of individuals that primarily invest their own funds.

[d] Venture capital funds investing not more than $1 million in the seed/angel financing.

Source: Fenwick & West LLP, http: //www.fenwick.com/docstore/vcsurvey/2010_angel_survey_report.pdf., accessed July 2011.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

Exhibit 7 Katherine Barr's Biography

Katherine Barr was a Partner at Mohr Davidow, and focused primarily on the digital media, consumer Internet, and mobile sectors. Some of the companies she worked with included: Ticketfly, Root Music, PunchTab, Massive Health, Visible Measures, and Wordnik.

She previously worked as a Negotiator at Vantage Partners for companies such as IBM, Cisco, Applied Materials, and HP, was on the founding team of a communications technology startup called HSA, and was on the marketing team for ACCESS Systems USA, a global software solutions provider for mobile devices.

Katherine taught a yearly Professional Education Negotiation seminar for the School of Engineering at Stanford. During her graduate studies at Stanford, she was involved in running the E-Challenge business plan competition for BASES (Business Association of Stanford Engineering Students). She also did technical research for the US-Asia Technology Management Center.

Source: Mohr Davidow website, http://www.mdv.com/who-we-are/katherine-barr, accessed July 2011.

Exhibit 8 Summary of Verbal MDV Terms

Amount raised: up to $750,000

Size of future financing in which note converted: $2,000,000

Initial discount: 20%

Principal and accrued and unpaid interest would convert at 80% of the lesser of 1) the price per share in the next equity financing and 2) the price per share at which PunchTab shares would be valued at a pre-money, fully diluted valuation of $6,000,000 (the valuation cap)

Amount that MDV had right to purchase in next equity financing: 40%

Treatment of note if PunchTab was acquired prior to an equity financing:

MDV would receive 150% of investment

Board of directors: none initially, but MDV to receive two seats at next equity financing, one for Bill Ericson and one for Katherine Barr

Interest rate: 6.0% per year

Term: 12 months

Other: PunchTab to receive office space at MDV

Source: Company.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

Endnotes

[1] "The Funding Landscape for Startups: Angels Rise to the Challenge," Solid State Newsletter, Venture Atlanta, May 2011, http://www.ventureatlanta.org/solid-state-newsletter/the-funding-landscape-for-start-ups-angels-rise-to-the-challenge/, accessed 7/12/11.

[2]"Angel/Seed Financing Survey," Fenwick & West LLP, 2010, http://www.fenwick.com/docstore/vcsurvey/2010_angel_survey_report.pdf, accessed 7/12/11.

[3] Peter Delevett, "On Angels' Wings," *Wall Street Journal*, May 15, 2011.

[4] Darian M Ibrahim, "The (Not So) Puzzling Behavior of Angel Investors, " *Vanderbilt Law Review*, October 1, 2008, Volume 61, Issue 5, accessed by Factiva 7/5/11.

[5] Ibid.

[6] Udayan Gupta, "AOL/HuffPo Deal a Victory for Angel Investor Lerer," *Institutional Investor Magazine*, February 1, 2011, accessed by Factiva 7/5/11.

[7] Pui-Wing Tam and Spencer E. Ante, ""Super Angels' Fly In to Aid Start-Ups," *The Wall Street Journal*, August 16, 2010, accessed by Factiva 7/7/11.

[8] Ibid.

[9] Udayan Gupta, "AOL/HuffPo Deal a Victory for Angel Investor Lerer," *Institutional Investor Magazine*, February 1, 2011, accessed by Factiva 7/5/11.

[10] Ibid.

[11] Ibid.

[12] Peter Delevett, "On Angels' Wings," *Wall Street Journal*, May 15, 2011.

[13] Udayan Gupta, "AOL/HuffPo Deal a Victory for Angel Investor Lerer," *Institutional Investor Magazine*, February 1, 2011, accessed by Factiva 7/5/11.

[14] Peter Delevett, "Kleiner Perkins First sFund Grad," *San Jose Mercury News*, July 12, 2011.

[15] Tomio Geron, "Angel Investors Get Backers of Their Own," *The Wall Street Journal Online*, July 22, 2010, accessed by Factiva 6/16/11.

[16] Evelyn M. Rusli, "Wall Street's New Cash Crop: Changing Rules for Entrepreneurs: Take the Money, Keep Control, " *The New York Times,* "April 7, 2011, accessed by Factiva 6/16/11.

[17] Ibid.

[18] Ibid.

[19] Ibid.

[20] Ibid.

[21] Ibid.

[22] Ibid.

[23] "Founder's Workbench," Goodwin & Proctor, http://www.goodwinfoundersworkbench.com/financing-strategies/, accessed 7/11/11.

[24] David McGrath, ""Seed Capital Offerings," *Mondaq Business Briefing*, October 5, 2010, accessed by Factiva 7/7/11.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.

[25] "Founder's Workbench," Goodwin & Proctor, http://www.goodwinfoundersworkbench.com/financing-strategies/, accessed 7/11/11.

[26] David McGrath, ""Seed Capital Offerings," *Mondaq Business Briefing*, October 5, 2010, accessed by Factiva 7/7/11.

[27] Ibid.

[28] "Founder's Workbench," Goodwin & Proctor, http://www.goodwinfoundersworkbench.com/financing-strategies/, accessed 7/11/11.

[29] David McGrath, ""Seed Capital Offerings," *Mondaq Business Briefing*, October 5, 2010, accessed by Factiva 7/7/11.

[30] "Founder's Workbench," Goodwin & Proctor, http://www.goodwinfoundersworkbench.com/financing-strategies/, accessed 7/11/11.

[31] David McGrath, ""Seed Capital Offerings," *Mondaq Business Briefing*, October 5, 2010, accessed by Factiva 7/7/11.

[32] Ibid.

[33] Ibid.

This document is authorized for use only in Francisco Queiro's 2220-Entrepreneurial Finance and Venture Capital TA,TB,TC S2 25-26 at Universidade Nova de Lisboa (UNL) from Jan 2026 to Jun 2026.